



“CII has suggested measures to boost consumption, including reduction of excise duty on fuel; lowering tax rates for personal income up to ₹20 lakh; and increasing the minimum wage under MGNREGS to ₹375 a day”

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believe that reforms in whatever form they come will help bolster the growth engine.

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The Union Budget 2025-26 will likely continue to focus on the themes of skilling and employment creation that were taken up in the Interim Budget 2024-25 with specific measures for digital upskilling of the workforce, notes Majumdar of Deloitte, adding that measures for further digitisation of public services to ensure financial inclusion are likely to be the other focus of the Budget.

Sinha of CareEdge highlights that the other important priority for the government should be to give a push to the industrial corridors that were proposed in this Budget. “This model worked for several East Asian countries and could give a significant boost to manufacturing in India as well. Each corridor should be developed as a sector-specific cluster that is labour intensive and has export potential and an ecosystem should be developed around it,” she says.

CII has suggested that to facilitate MSMEs, the government

should upgrade the Udyam Registration Portal into ‘a single one-stop’ platform for MSME registration, compliances of various regulations and procedures, besides being linked with GeM, TReDS and SAMADHAAN portals. MSMEs being the engine of employment growth, this is a key move.

Industry body FICCI has called for implementing next-generation reforms in the factor market—a place where businesses buy and sell the resources they need to produce goods and services—that would create inter-state institutional platforms. “Many of the next generation reforms lie in the state’s concurrent domains and require consensus building to take them forward. Inter-state institutional platforms on the lines of the GST Council can be created—especially for reforms in the areas of land, labour and power,” it underlined.

Some proposed reforms and measures announced in Budget 2024-25 are also gaining momentum and could see greater play in the coming fiscal. The PM Internship Scheme is likely to be rolled

out fully in 2025-26 while all 36 states and Union Territories are expected to complete harmonisation and pre-publication of draft rules for notification by March 31, 2025, laying the road for actual implementation of the Labour Codes. There is also expectation that the pending issue of social security to the country’s teaming gig workers could be taken up in the Budget.

The Budget is also likely to review customs duty rates and exemptions on several items and push through some measures for simplification of direct tax policies on segments like tax deducted at source. But the revamp of the I-T Act, 1961, may get pushed back. The FM had also announced a new road map for fiscal consolidation from 2026-27 under which the fiscal deficit each year will be maintained in such a way that the central government’s debt to GDP ratio declines. While the ministry has had some initial discussions on it, whether it sees a mention in the Budget is to be seen.

For now, one of the biggest monitorables is how Trump’s tariff policies will impact India’s exports, a point that industry chambers and exporters have raised. An across-the-board tariff hike would leave India largely unscathed while a hike only on Chinese imports could potentially benefit India. But the going may not be as simple or easy, warn experts.

For Sitharaman, navigating each of these challenges will not be an easy task. Her formidable experience—along with some nimble policy crafting—could, however, help turn the tides and help her balance the need to boost growth and consumption while keeping inflation under check. **BT**

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